

Nigeria's Proposed Crackdown on Casual Work: What Employers and Directors Need to Know

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A Labour Act amendment bill working its way through the National Assembly would criminalise keeping workers on casual status beyond six months, and would restrict outsourcing of a company's core business functions. Employers who rely on casual staffing or outsourcing arrangements should understand what the bill actually changes — and what it doesn't.

What Counts as "Casual" Today

Nigerian courts have given the term practical content even though the Labour Act itself does not formally define it. The Court of Appeal, in *Owena Mass Transportation Co. Ltd v. Okonogbo*, described a casual worker as one engaged under an explicit or implicit contract not expected to continue beyond a short period — traditionally, an engagement of less than six months, paid at the end of each working day. In practice, casual work today is more often characterised by hourly pay with almost none of the protections that attach to regularised staff: no entitlement to notice, severance pay, most forms of paid leave, medical allowances, job security, or collective bargaining rights, even where the same individual has in fact worked for the same employer for years.

What the Proposed Amendment Actually Does

It's important to be precise about the scope of the change, because the practical effect is narrower than "casualisation becomes illegal" headlines might suggest. The amendment does not make engaging casual workers a criminal offence in itself. An offence arises only where a worker has been engaged for more than six months without their employment being regularised. Casual workers can still lawfully be engaged for periods under six months — including, on a literal reading, successive engagements of under six months each, provided each engagement genuinely ends and a fresh one begins, rather than the same continuous engagement being relabelled. That gap is a live tension: stacking short cycles to avoid regularisation sits uncomfortably with the evident purpose of the amendment, and Nigerian courts have already shown a willingness to look past labels — the National Industrial Court has separately described the treatment of long-serving workers as perpetual "casuals" as demeaning and no longer an acceptable characterisation under the current Nigerian labour and employment regime, regardless of how the arrangement is papered.

The Outsourcing Restriction — Tied to a Company's Own Objects

The proposed restriction on outsourcing is not a general ban. It targets outsourcing of functions that fall within a company's own core aims and objectives — determined by reference to the company's memorandum and articles of association as filed with the Corporate Affairs Commission. Anything done outside a company's stated objects is, under long-established company law principle, *ultra vires* and invalid — illustrated in *Continental Chemists Ltd v. Ifeakandu* (1966) LPELR-25293(SC), where a pharmaceutical manufacturer's contract for medical services was held *ultra vires* because running a hospital fell outside its stated objects. The Supreme Court in that case grounded the principle in a line of older English authority: *Ashbury Railway Carriage and Iron Co. v. Riche* (1875) LR 7 HL 653, for the proposition that anything outside a company's stated objects is invalid and cannot be ratified by its members; *Attorney-General v. Great Eastern Railway Co.* (1880) 5 App. Cas. 473, for the qualification that whatever is fairly incidental to the stated objects (unless expressly prohibited) is still *intra vires*; and *In re German Date Coffee Co.* (1882) 20 Ch. D. 169, cautioning that general words in a memorandum of association must be read in light of the company's dominant or main objects, not literally enough to turn a company formed for one purpose into a company for something else entirely. Anything done outside a company's stated objects, on this reasoning,

is not something the company itself is properly in the business of doing — which means functions genuinely outside a company's core objects remain fair game for outsourcing under the proposed amendment. The practical test for any business considering this is straightforward: would setting up an in-house function to do this work be within what our memorandum of association says we exist to do? If the answer is no, the function sits outside the "core" the amendment is concerned with.

Personal Exposure for Directors

The proposed amendment would expose directors to imprisonment on conviction, in addition to any liability the company itself faces. Who counts as a "director" for this purpose turns on the same CAMA appointment and holding-out principles that govern directorship generally — a person named on the company's Form CO7 filing, or held out publicly by the company as a director and treated as such, whether or not that person has been formally appointed through the statutory routes. As the Court of Appeal held in *Nwankwo v. Kay-Kay Construction Ltd* (2014) LPELR-24336(CA), a person who occupies the office of a director in fact, and is held out by the company as such, is a director "in fact (de facto) and law (de jure)" regardless of whether their name appears in the company's Form CO7 particulars filed at the Corporate Affairs Commission — meaning liability under the proposed amendment could not be avoided simply by keeping someone's name off the official filing while treating them as a director in substance.

The Practical Takeaway

Employers with a significant casual or outsourced workforce should begin auditing exposure now: map which staff have effectively been on casual status beyond six months without regularisation, and review which outsourced functions might arguably sit within the company's stated core objects. This is worth doing ahead of enactment, not after, given how close the bill appears to be to passage — but the specific offence definitions, penalties, and effective date will only be fixed once it is actually signed into law.

A note on currency of the law

As at mid-2026, this remains a bill before the National Assembly, not yet law. Reporting in May 2026 described the National Assembly as close to passing the amendment, but presidential assent had not been given as at the time of writing.

Sections 7–9 of the Labour Act, governing contracts of service generally, remain unamended and intact; the proposed change operates alongside them rather than replacing them.

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